

Micron Technology, Inc.

MU NASDAQ

Buy	\$1079.64 ▲ 3.26%	12M Price Target \$1250.00	52-Week Range \$179.61 – \$1255.00	Market Cap \$1.22T
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MU: HBM Dominance Meets CHIPS Act Round Two

WHAT HAPPENED

- MU bounced +3.26% to \$1,079 after a 4-day slide from \$1,097 → \$1,045. Nothing company-specific hit the tape, so this looks like a technical bounce off the \$1,045 support with options traders aggressively buying — call volume is nearly 2x put volume and there's massive unusual call buying at the \$1,040-\$1,060 strikes expiring this month (over \$290M notional). Translation: big money is betting the dip is over.
- The whole tech sector was actually RED today (-0.35%), yet MU rallied hard — that's relative strength, meaning MU is being bought on its own merits, not just riding a sector wave.

WHY IT MATTERS

When a stock rips higher while its sector sells off, that's institutions accumulating — not retail chasing. The unusual call flow at near-the-money strikes expiring in 2 weeks tells me someone expects a near-term catalyst (likely earnings or an HBM supply announcement). Bigger picture: Micron is now a \$1.2 trillion company — it has quietly become one of the most important AI infrastructure names on the planet because every Nvidia Blackwell and Rubin GPU needs HBM3E/HBM4 memory, and Micron is one of only three suppliers (with SK Hynix and Samsung). The stock sitting at 84% of its 52-week range after a 6x move off the lows means momentum is intact but you're not getting a bargain — you're paying for proven dominance.

POLICY & POLITICAL WATCH

Micron is the single largest beneficiary of the CHIPS Act — they got \$6.1B in direct grants plus loan authority to build fabs in Idaho and upstate New York. The Trump administration's 2026 push to expand CHIPS Act 2.0 (focused on advanced memory and packaging) is actively being debated — if it passes, Micron gets another multi-billion-dollar subsidy tailwind. The flip side: ongoing US-China export controls on advanced memory HELP Micron by locking Chinese competitor CXMT out of the high-end market, but also risk Chinese retaliation against Micron's remaining China revenue (~10% of sales). Net-net: policy is a tailwind, and watch for CHIPS 2.0 headlines over the next 60 days.

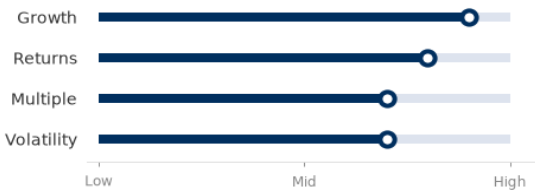
IS IT EXPENSIVE?

At ~22x forward earnings, MU is pricier than its historical average of 12-15x — but that old average was for a cyclical commodity DRAM maker. The business has changed: HBM carries 3x the margins of regular memory and is sold out through 2026. You're basically paying \$22 for every \$1 of next year's earnings, which is reasonable for a company growing earnings 50%+ with a structural AI tailwind — but it does mean any crack in HBM pricing gets punished hard.

Key Data

Price (USD)	\$1079.64
12M Price Target	\$1250.00
Upside / (Downside)	+15.8%
Market Cap	\$1.22T
FY2026E Revenue	\$52,500M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$48.50
FY2027E EPS	\$72.00
Fwd P/E	22.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1180.00	\$1120.00	\$980.00
6 Months	\$1400.00	\$1250.00	\$900.00
1 Year	\$1600.00	\$1350.00	\$850.00
2 Years	\$2100.00	\$1600.00	\$800.00
5 Years	\$3000.00	\$2000.00	\$700.00
10 Years	\$5000.00	\$2800.00	\$600.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.41%) is bouncing on defensive rotation, Utilities continue their AI-powered run (+4.61% over 5 days — the data center electricity thesis is real and ongoing).

COOLING OFF: Tech took a breather today (-0.35%) after a strong week — looks like profit-taking, not a trend break.

ROTATION WATCH: Money is quietly moving into utilities and healthcare as a hedge against tech froth, but AI infrastructure names (semis, power, cooling) remain the long-term magnet. MU bucking the tech weakness today is a tell.

RELATED PLAY: If you believe in the HBM thesis, the second-order plays are the equipment makers (LRCX, AMAT) who sell the tools Micron uses to build these fabs — they get paid regardless of which memory company wins.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI king — every Blackwell shipment pulls through Micron HBM, so NVDA strength = MU strength.
- AVGO (Broadcom): Custom AI chips for hyperscalers continue to drive memory demand across the ecosystem.

MU CONTEXT: MU is LEADING its peer group today — up 3.26% while tech is down. That's a sign the market views Micron as a differentiated AI pure-play, not just a cyclical semi. Historically Micron lagged on tech-up days; the fact that it's now leading on tech-DOWN days is a regime change worth noting.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The HBM dominance story is real, the policy backdrop is friendly, and smart money is buying the dip. Not 10/10 because the stock has already run 6x off the lows and cyclicalty always lurks.

POSITION SIZE: 4-6% of portfolio — big enough to matter if the thesis plays out, small enough that a cyclical correction doesn't wreck you.

ENTRY POINTS: Add on pullbacks to \$1,020-\$1,050 (the recent support zone). Chasing above \$1,100 isn't terrible but you're paying up.

TIME HORIZON: 12-24 months — the catalyst path is HBM4 ramp in 1H26, CHIPS Act 2.0 potential, and continued hyperscaler capex guidance.

WHEN TO BAIL: Three triggers — (1) Samsung gets qualified at Nvidia for HBM, (2) a hyperscaler cuts 2026 capex guidance, or (3) HBM ASPs decline sequentially for two quarters.

HEDGING: Buy some protective puts 10% out-of-the-money for 3 months out — think of it as insurance that costs 2-3% of your position but saves you if there's a sudden sell-off. Or pair-trade by shorting a weaker semi name against your MU long.